INTERNSHIP REPORT

ON

" FINANCIAL ACCOUNTING, BOOKKEEPING AND BANK ENTRIES IN NATIONAL FOOD INDUSTRIES KAKKENCHERI

Internship report submitted in partial fulfillment of the requirement for the Department of B.Voc Professional Accounting and Taxation degree from theUniversity of Calicut

SUBMITTED BY

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UNDER THE GUIDANCE OF

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EMEA COLLEGE OF ARTS AND SCIENCE KONDOTTY

2024-25

Department of B.Voc Professional Accounting & Taxation

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CERTIFICATE

Certified that the Internship Report entitled **" FINANCIAL ACCOUNTING, BOOKKEEPING AND BANK ENTRIES IN NATIONAL FOOD INDUSTRIES KAKKANCHERI "** is a bonafide work done by **PUNNYA MP (Reg.No:EMAYBPA042)** in partial fulfillment of the requirements for the award of the Degree of B.Voc Professional Accounting and Taxation University of Calicut,and has not previously formed the basis for the award of any degree, diploma, associateship, fellowship or any other similar title.

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CERTIFICATE

Certified that the Internship Report entitled **" FINANCIAL ACCOUNTING, BOOKKEEPING AND BANK ENTRIES IN NATIONAL FOOD INDUSTRIES KAKKANCHERI "** is a bonafide work done by **SHAMANA SHAREEF VP (Reg.No: EMAYBPA042)** in partial fulfillment of the requirements for the award of the Degree of B.Voc Professional Accounting and Taxation University of Calicut, under my supervision and guidance and has not previously formed the basis for the award of any degree, diploma, associateship, fellowship or any other similar title.

Mrs. JASIYA SALIM

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DATE: Accounting and Taxation

DECLARATION

We hear by declare that the Project Report entitled **" FINANCIAL ACCOUNTING, BOOKKEEPING AND BANK ENTRIES IN NATIONAL FOOD INDUSTRIES KAKKANCHERI "** is a

bonafide record done by me, in partial fulfillment of the requirement of the award of the degree of Bachelor of Vocational Studies, under the supervision of **Mrs. JASIYA SALIM** Department of B.Voc Professional Accounting and Taxation, E.M.E.A College of Arts and Science, Further declare that this report has not previously formed the bases for the award of any Degree, Diploma, Associate ship, Fellowship or other similar title of recognition.

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ACKNOWLEDGEMENT

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CHAPTER 1
INTRODUCTION

INTRODUCTION

An internship is a practical training experience provided by companies, organizations, or institutions to students or recent graduates, allowing them to gain hands-on knowledge and realworld exposure in their chosen field of study. It serves as a bridge between academic learning and professional work environments, helping individuals apply theoretical concepts to actual workplace situations. Internships are usually of short duration, ranging from a few weeks to several months, and can be either paid or unpaid depending on the organization and industry.During this period, interns work under the guidance of experienced professionals who mentor and support their learning. In addition to skill development, internships offer valuable networking opportunities and often play a key role in shaping future career paths. For many students, internships also serve as a stepping stone to full-time employment, as companies often consider them a way to evaluate potential future employees.

My exposure to financial accounting principles, along with a solid understanding of GST regulations, has prepared me to contribute meaningfully to tasks such as preparing and filing GST returns, managing sales and purchase invoices, and ensuring compliance with tax laws. Working with Tally software will enhance my ability to efficiently manage accounting records, generate financial reports, and ensure accuracy in the recording ffffff of transactions.

This internship will allow me to develop a comprehensive understanding of the accounting cycle, from journal entries to balance sheets, while deepening my knowledge of indirect taxation, particularly the complexities of GST in India. Additionally, I look forward to learning from professionals in the field and gaining insights into the best practices and industry standards for financial management.

I am particularly interested in areas such as bookkeeping, financial reporting, and the use of accounting software like Tally or Excel. I believe this internship will be a valuable opportunity for me to enhance my skills, learn from experienced professionals, and contribute positively to the organization. I am a dedicated and detail oriented individual, and I look forward to learning and growing as part of the accounts team.

Accounting is often referred to as the language of business, playing a crucial role in the financial health and transparency of organizations across all industries. It involves the systematic recording, analyzing, and reporting of financial transactions to provide accurate and timely information for decision-making. From tracking daily expenses to preparing complex financial statements, accounting ensures that businesses operate efficiently, comply with regulations, and maintain the trust of stakeholders. As

technology evolves, the field continues to expand, incorporating tools like data analytics and automation, which further enhance the precision and relevance of financial reporting. Whether in public, private, or non-profit sectors,accounting remains a foundational pillar that supports strategic planning and long-term growth.

Accounting is far more than just numbers—it is the foundation of sound financial decision-making in any organization. At its core, accounting involves the systematic process of identifying, recording, classifying, summarizing, and interpreting financial information. This information provides business owners, investors, managers, and other stakeholders with a clear picture of a company's financial health, performance, and future potential. Whether it's preparing budgets, analyzing financial statements, or ensuring compliance with tax laws, accounting is essential for maintaining order and transparency in the business world.

One of the primary purposes of accounting is to provide accurate financial information that supports informed decision-making. Through financial accounting, businesses can understand their profitability and financial position, while managerial accounting helps internal stakeholders plan operations, control budgets, and make strategic decisions. In addition, accounting ensures that companies adhere to legal standards and regulatory requirements, helping to maintain public trust and investor confidence.

As the business environment becomes more complex, the role of accounting continues to evolve. Today, accountants are not only responsible for bookkeeping but also play a critical role in financial planning, risk management, and business strategy. Technological advancements such as cloud accounting, automation, and data analytics have transformed the field, allowing accountants to work more efficiently and provide deeper insights. As a result, accounting professionals are now expected to have strong analytical, technological, and communication skills alongside traditional financial expertise.

FINANCIAL ACCOUNTING

During my internship in financial accounting, I am eager to gain practical experience in managing and recording financial transactions, preparing financial statements, and understanding the overall accounting cycle within a business context. Financial accounting plays a crucial role in maintaining transparency, accuracy, and compliance in any organization's financial operations, and I am excited to apply the concepts I've learned in the classroom to real-world scenarios.

In this role, I will be involved in tasks such as preparing journal entries, maintaining ledgers, and reconciling accounts to ensure that the financial records are accurate and up to date. I will also work on generating financial statements like income statements, balance sheets, and cash flow statements, which are essential tools for assessing the financial health of a business. This will help me develop a deeper understanding of how financial data is used for decision-making, forecasting, and budgeting within an organization.

Moreover, I look forward to getting hands-on experience with accounting software, which is a crucial skill in today's accounting landscape. I'll be working with tools such as Tally to record transactions, track expenses and revenues, and generate reports. This exposure will give me insight into how automation and digital tools have transformed the field of accounting, improving efficiency and accuracy in financial reporting.

Throughout the internship, I will also learn about compliance with accounting standards, including how to follow guidelines set by regulatory bodies such as the Financial Accounting Standards Board (FASB) or the International Financial Reporting Standards (IFRS). Understanding these principles will be essential for producing financial reports that are not only accurate but also in compliance with legal and industry regulations.

This internship provides an invaluable opportunity to bridge the gap between theoretical knowledge and practical application in the field of financial accounting. By working on real-world accounting tasks and collaborating with experienced professionals, I aim to refine my skills and gain a deeper appreciation for the integral role financial accounting plays in the success of an organization.

FEATURES OF FINANCIAL ACCOUNTING

• **Hands-on Experience with Financial Transactions** : One of the key features of a financial accounting internship is the opportunity to gain practical experience by working directly with financial transactions. Interns typically assist in recording daily transactions such as sales, purchases, expenses, and receipts. This allows them to understand the flow of money within

organization and the importance of accurate documentation.

• **Preparation of Financial Statements** : Interns often help in preparing core financial statements, such as the Income Statement (Profit & Loss Account), Balance Sheet, and Cash Flow Statement. These documents provide a snapshot of a company's financial health and are used for decision-making by management, investors, and stakeholders. Through this process, interns gain insight into the methods used to present financial data in a meaningful way.

• **Working with Accounting Software (e.g., Tally, QuickBooks)** : A critical feature of financial accounting internships today is the use of accounting software. Interns typically get hands-on exposure to tools like Tally, which is used for managing general ledgers, recording transactions, and generating financial reports. Learning to work with such software enhances technical proficiency and prepares interns for the increasingly digital world of accounting.

OBJECTIVES OF THE STUDY

• To gain practical experience in recording financial transactions and maintaining accurate accounting records.

• To learn how to prepare and analyze key financial statements such as Income Statements, Balance Sheets, and Cash Flow Statements.

• To familiarize with using accounting software like Tally and QuickBooks for data entry, ledger management, and report generation.

• To understand the processes involved in calculating and filing taxes, including GST returns and ensuring tax compliance.

• To enhance knowledge of the financial reporting process, including the preparation of trial balances and reconciliations.

• To learn the process of reconciling bank statements with company records and resolving discrepancies.

• To study internal controls and auditing practices to ensure financial records are accurate and compliant with regulations.

• To develop analytical skills in interpreting financial data and identifying trends that impact business decision-making.

• To understand and apply regulatory accounting standards, including GAAP and IFRS, and the importance of ethical practices in financial reporting.

• To build effective communication skills by working with senior accountants and finance teams and learning to present financial information clearly.

• To improve problem-solving abilities by addressing and resolving errors or discrepancies in financial documents and reports.

• To gain insights into how financial accounting contributes to overall financial strategy, budgeting, and forecasting in a business context.

SCOPE OF THE STUDY

The scope of the study encompasses various key areas of financial accounting and management. It includes recording and managing financial transactions, focusing on understanding the methods of recording purchases, sales, expenses, and receipts, as well as their categorization in financial records. The preparation of financial statements is another vital part, involving hands-on experience in drafting Income Statements, Balance Sheets, and Cash Flow Statements, along with understanding their role in evaluating an organization's financial health. The study also explores the use of accounting software such as Tally and QuickBooks, covering their application in recording transactions, managing ledgers, and generating accurate reports to enhance efficiency in record-keeping. Additionally, it addresses GST filing and taxation, with a focus on tax compliance, GST return preparation, and adherence to tax regulations. Bank reconciliation and account accuracy are studied to ensure financial data matches bank statements and to resolve discrepancies.

Further, the scope includes internal controls and auditing procedures, emphasizing the importance of internal measures to prevent errors or fraud and ensuring compliance and accuracy of records. Financial data analysis and reporting is also examined, involving the analysis of financial data to identify trends, monitor performance, and support decision-making, including the preparation and presentation of financial reports. Lastly, the study covers bank audits, which involve reviewing and summarizing the systems, records, financial positions, and procedures of banks or financial institutions in a formal report.

CHAPTER 2

COMPANY ORGANISATION

COMPANY PROFILE

National food industrywas started in7th January 2007.Thecompany is located at Kakkanchery, inside **KINFRA** food processing park. The companymarkets its productunderthebrandnameMercely'sicecream.Themainbranchofthecompany at Dharmapuri.

Mr. Joseph Marcely Kadambukattil, the man behind the brand, has been tantalizing the taste buds of Keralites with exquisite icecreams for three decades and is now on his journey to be known as the best ice creammaker in theworld. JosephM Kadambukattil signs a contract with Dulquer Salman to be the ambassador for his newly launched brand, Mercely's.

Mercely's IceCreamis a premiumartisanal ice creambrandknown for crafting indulgent ,high-qualityfrozendessertsmadewithnatural ingredientsandinnovative flavors.Since its Inception in 2021, Mercely's has captured the hearts of icecream lovers by combining traditional recipes with contemporary flair. The company focuses on delivering a delightful experience by offering adiverse range of flavors ,including unique and seasonal options that cater to a variety of taste preference . .

Mercely's prides it self on being a customer-centric brand, dedicated to providing a luxurious dessert experience that is both indulgent and guilt-free. With a commitment to sustainability , quality, and creativity, Mercely's Ice Cream is quickly becoming a leading name in the artisanal ice cream industry.

CERTIFICATIONS:-

- **ISO22000:2018:**
  ISO is an international standard that specifies the requirements for a food safety managementsystem(FSMS).

- **FSSAI(FOODSAFETYANDSTANDARDAUTHORITYOFINDIA):**
  FSSAI has been established under Food Safety and Standards , 2006 which consolidates various acts& orders that have hitherto handled food related issues in various Ministries and Departments

- **HALALCERTIFICATION:-**

Halal certification is a document that confirms a product or service is permissibleforMuslimstoconsumeaccordingtoIslamiclaw.It'sasymbolofquality, safety,andethicalproductionpractices.

MissionStatement

Inable practices, while nurturing a strong bond with our customers and community.

To create an unforgettable ice cream experience by combining the finest ingredients, Innovative flavors, and sustainable practices, while nurturing a strong bond with our customers and community.

VisionStatement

To be the most beloved and trusted ice cream brand, known for pushing the boundaries of flavor, quality, and ethical sourcing.

CoreValues

- **Quality**: We prioritize the highest standards of ingredients and production processes.
- **Innovation**:We continually experiment with unique flavors, textures, and presentation.
- **Sustainability:**We are committed to using eco-friendly packaging and supporting sustainable farming practices.
- **CustomerDelight**: Our customers' satisfaction is at the heart of everything we do.
- **Community:** We strive to make a positive impact in the communities we serve.

Sourcing&Sustainability

Mercely's is dedicated to sustainable sourcingof ingredients, ensuring that its ice Cream is not only delicious but also ethically produced. The company partners with local farms and supplierswho adhere to eco-friendly practices, and works with organic and fair-trade ingredients whenever possible. All packaging used by Mercely's is 100% recyclable or biodegrade.

Manufacturing&Facilities

Mercely's Ice Cream is produced in state-of-the-art facilities designed with both quality control and sustainability in mind. The company uses small-batch production methods to ensure that each flavor is meticulously crafted, and their kitchens are equipped with the latest equipment to maintain the highest standards of hygiene and food safety.

Market&Distribution

Mercely's Ice Cream serves both direct-to-consumer and B2B markets,distributing Through various channels:

- **Retail**:Available in major grocery stores, specialty food shops, and localmarkets.
- **Direct-to-Consumer**:Through online ordering and home delivery services.
- **Foodservice:**Supplied to cafes, restaurants, and cateringservices.
- **Pop-UpStands&FoodTrucks**:Providing a mobile ice cream experience at events,festivals,andspecialoccasion

ORGANAISATIONAL CHART

CHAPTER 3

OVERVIEW

TALLY ACCOUNTING

Tally Accounting is a comprehensive and widely used accounting software, especially popular in India, designed to streamline and simplify business financial management. It offers features such as bookkeeping, inventory management, payroll, and financial reporting, enabling businesses to maintain accurate and up-to-date records. Tally is fully GST-compliant, helping businesses calculate taxes and file returns easily, while also supporting multi-currency transactions, bank reconciliation, and tax audits. The software's user-friendly interface makes it accessible even for those with limited accounting knowledge, while its robust security features ensure data protection. Tally also facilitates seamless integration with other business systems, ensuring smooth workflow and collaboration. With its cost-effectiveness and scalability, Tally is an ideal choice for small to medium-sized enterprises, offering real-time access to financial data, customizable reports, and remote cloud access in its latest version, Tally Prime. Overall, Tally Accounting plays a crucial role in simplifying business accounting, improving compliance, and fostering operational efficiency.

n an internship context, working with Tally Accounting offers valuable hands-on experience in managing financial data, learning accounting practices, and understanding business operations. As a common tool used in small to medium-sized enterprises, Tally provides interns with an opportunity to gain practical knowledge in accounting, inventory management, and financial reporting. Interns are typically tasked with entering transactions, generating financial statements, reconciling bank accounts, and ensuring that all data is in line with regulatory standards, especially GST compliance.

During the internship, interns can become familiar with features such as General Ledger (GL), Accounts Payable and Receivable, Inventory Management, and Bank Reconciliation, which are all key components of Tally. This experience allows them to develop a deep understanding of accounting principles while gaining exposure to real world applications of financial software. Interns may also assist in generating GST returns, learning how tax calculations work, and ensuring the business remains compliant with current tax laws.

Working with Tally in an internship also helps interns improve their data entry skills, attention to detail, and analytical abilities, as they are responsible for ensuring the accuracy of financial records and reports. Moreover, they can learn how to prepare reports like Profit &Loss Statements, Balance Sheets, and Cash Flow Statements, which are critical for business decision-making.

In addition to accounting skills, interns can also develop an understanding of how businesses manage and integrate financial information with other areas, such as sales, inventory, and payroll. This hands-on experience using Tally equips interns with the practical knowledge

needed for accounting and finance roles, making them more competitive in the job market. Overall, an internship involving Tally not only sharpens accounting skills but also introduces interns to the digitalization of financial operations, preparing them for modern accounting practices and challenges in the business world.

OBJECTIVES OF TALLY ACCOUNTING

Learn Financial Reporting: Develop skills in generating financial reports such as Profit & Loss Statements, Balance Sheets, and Cash Flow Reports.

GST Compliance: Learn how to generate GST-compliant invoices and file GST returns accurately, ensuring compliance with tax laws.

Improve Data Entry Skills: Enhance accuracy and efficiency in data entry while learning to maintain clean and organized financial records.

Gain Inventory Management Experience: Learn how to manage inventory, track stock levels, create purchase and sales orders, and reconcile inventory data.

Enhance Analytical Abilities: Analyze financial data, identify discrepancies, and assist in reconciling accounts, especially with bank statements and vendor payments.

Develop Payroll Management Knowledge: Understand how to process payroll, including calculating wages, bonuses, and statutory deductions.

Familiarity with Financial Software: Get hands-on experience with Tally, one of the most widely used accounting software, which is essential for many finance-related roles.

Learn Bank Reconciliation:Gain experience in reconciling business bank accounts and ensuring that financial transactions are accurately reflected in the system.

Exposure to Multi-Currency Transactions: Learn to handle transactions involving foreign currencies and understand the conversion process within the software.

IMPORTANCE OF TALLY ACCOUNTING

GST Compliance: One of the most important features of Tally is its seamless integration with the Goods and Services Tax (GST) system. It helps businesses ensure GST compliance by automatically calculating GST, generating GST-compliant

invoices, and filing GST returns. This minimizes errors and ensures businesses stay up to-date with tax regulations.

Accurate Financial Reporting: Tally generates real-time financial reports like Profit & Loss statements, Balance Sheets, Cash Flow statements, and Trial Balances. These reports are essential for businesses to track their financial health, make informed decisions, and present clear data for audits and taxation.

Inventory Management: Tally enables businesses to manage their inventory with ease, offering features like stock tracking, stock valuation, and management of multiple warehouses. This ensures that businesses can effectively manage their inventory and prevent overstocking or stock outs.

Multi-Currency Support: For businesses involved in international trade, Tally's multi-currency feature is highly beneficial. It allows businesses to record transactions in different currencies and automatically converts them to the local currency for accounting purposes.

Payroll Management: Tally also simplifies payroll processing by handling employee salaries, bonuses, statutory deductions, and other compensation-related tasks. This makes it easier for businesses to comply with labor laws and manage employee payments efficiently.

Bank Reconciliation: Tally allows businesses to reconcile their bank accounts by comparing the bank statement with internal financial records. This helps ensure that all transactions are accurately recorded and that discrepancies are promptly identified and addressed.

User-Friendly Interface: Tally's simple and intuitive interface makes it easy for non accounting professionals to use. This is particularly valuable for small business owners or entrepreneurs who may not have an in-depth understanding of accounting principles.

Time and Cost Efficiency: By automating routine accounting tasks, Tally saves businesses significant time and reduces the risk of human error. It also reduces the cost of hiring external accountants or maintaining manual accounting records.

Customization: Tally is highly customizable, allowing businesses to tailor the software according to their specific needs. Whether it's customizing invoice formats, report templates, or adding unique business features, Tally can be adapted to suit a variety of business models.

BOOK KEEPING

Bookkeeping in an Internship offers interns a valuable opportunity to gain practical experience in financial record-keeping, an essential skill for anyone pursuing a career in accounting or finance. Interns involved in bookkeeping typically assist with the day to-day management of financial transactions, providing a hands-on understanding of how businesses maintain accurate financial records. This experience is not only beneficial for understanding basic accounting principles but also for learning how to use financial software like Tally, QuickBooks, or Microsoft Excel for tracking and organizing data.

Interns working in bookkeeping usually start by entering day-to-day transactions into the company's accounting system, such as recording sales, purchases, payments, and receipts. They may also be tasked with helping reconcile bank statements with internal financial records, ensuring that all transactions match and identifying any discrepancies. This helps interns develop an eye for detail and accuracy—skills that are crucial for preventing errors in financial reporting. Interns may also assist in preparing financial reports like trial balances, profit and loss statements, and balance sheets, providing insight into the overall financial health of the business.

One of the most important aspects of bookkeeping in an internship is learning about accounts payable and accounts receivable. Interns may help track incoming and outgoing payments, ensuring that vendors are paid on time and that customers' outstanding balances are accurately recorded. This not only helps in improving cash flow management but also allows interns to learn the nuances of credit and debt management, which are fundamental for business operations.

Interns may also assist with payroll tasks, such as calculating employee wages, benefits, and deductions, ensuring that salaries are processed accurately and on time. This introduces them to the complexities of tax calculations and compliance, as proper bookkeeping ensures that employees are paid correctly, and businesses adhere to tax regulations. In larger organizations, interns may work with other departments, gaining insight into how bookkeeping supports functions like procurement, sales, and finance.

Another crucial aspect of an internship focused on bookkeeping is the opportunity to learn about tax compliance and how accurate financial records ensure that businesses remain compliant with local, state, and federal tax laws. Interns may assist in preparing documentation for tax filings, helping them understand the relationship between accounting records and tax returns

FEATURES

Double-Entry System: Bookkeeping typically follows the double-entry accounting system, where each transaction affects at least two accounts: one is debited, and another is credited. This ensures accuracy and that the accounting equation (Assets = Liabilities + Equity) is always balanced.

Accounts Payable and Receivable: Bookkeeping tracks accounts payable (money owed by the business to suppliers) and accounts receivable (money owed to the business by customers).This helps businesses manage cash flow, ensuring that payments are made and received on time.

Financial Reporting: Bookkeepers generate important financial reports, such as Balance Sheets, Profit & Loss Statements, and Cash Flow Statements. These reports summarize business's financial status, providing crucial insights for decision-making**.**

Bank Reconciliation: One of the key functions of bookkeeping is performing bank reconciliation, where a business's internal financial records are compared with the bank statement to ensure accuracy and resolve discrepancies.

Payroll Management: Bookkeepers are often responsible for calculating and processing employee salaries, wages, bonuses, and deductions. This includes ensuring that all employee-related taxes are calculated correctly and that payments are made on time.

Inventory Tracking: In businesses that deal with physical goods, bookkeeping helps manage inventory by tracking stock levels, purchases, and sales. It helps businesses avoid overstocking or running out of inventory and ensures accurate valuation of inventory**.**

Tax Compliance: Bookkeepers ensure that financial records are kept in accordance with tax regulations. This includes tracking sales tax, income tax, and other applicable taxes. Proper bookkeeping helps in filing accurate tax returns and avoiding penalties.

Budgeting and Forecasting: Bookkeeping provides the data needed for budgeting and financial forecasting. By tracking expenses and income, businesses can create more accurate budgets and predict future financial performance. Audit Trail: A proper bookkeeping system creates an audit trail, which tracks all financial transactions made by the business. This ensures transparency and accountability and allows for easy audits by internal and external auditors.

OBJECTIVES

Maintain Financial Transparency: Bookkeeping ensures transparency in financial operations by providing a clear and structured record of transactions. This transparency is crucial for stakeholders, investors, and auditors.

Support Financial Decision-Making: By maintaining accurate and up-to-date financial records, bookkeeping provides businesses with the necessary data to make informed financial decisions, such as budgeting, forecasting, and strategic planning.

Ensure Compliance with Laws and Regulations: Proper bookkeeping ensures that a business complies with legal and regulatory requirements, including tax laws, labor laws (payroll), and accounting standards. It helps in filing accurate tax returns and meeting audit requirements.

Facilitate Financial Reporting: Bookkeeping enables the preparation of essential financial reports like Profit & Loss Statements, Balance Sheets, and Cash Flow Statements, which help business owners and managers assess the financial health of the business.

Manage Cash Flow: One of the key objectives is to track accounts payable and accounts receivable, helping businesses maintain a positive cash flow. It ensures that invoices are paid on time and that cash is available to meet business expenses**.**

Support Budgeting and Forecasting: Bookkeeping provides the historical data needed for accurate budgeting and forecasting. By analyzing past financial records, businesses can better predict future income, expenses, and financial needs.

Prevent Fraud and Errors: A well-maintained bookkeeping system helps detect errors or fraudulent activities early by providing an organized record of all transactions. This increases financial accountability and reduces the risk of financial mismanagement.

Enable Easy Audits: Bookkeeping provides a solid audit trail that makes it easier for auditors to verify the accuracy of financial statements. Regular bookkeeping ensures that the businesses prepared for internal or external audits at any time.

Track Business Performance: Bookkeeping helps track the profitability and financial performance of a business. It provides insights into how revenue, expenses, and profits are evolving over time, which is critical for growth and operational improvements.

BASIC CONCEPT OF ACCOUNTING

Accounting: It is an art of recording, classifying and summarizing in significant manner and in terms of money, transactions and events which are of financial character and interpreting the results thereof.

Business Transaction: A business transaction is "The movement of money and money's worth form one person to another". Or exchange of values between two parties is also known as "Business Transaction".

Purchase: A purchase means goods purchased by a businessman from suppliers. Sales: Sales is goods sold by a businessman to his customers.

Purchase Return or Rejection in or Outward Invoice: Purchase return means the return of the full or a part of goods purchased by the businessman to his suppliers. Sales Return or Rejection out or Inward Invoice: Sales return means the return of the full or apart of the goods sold by the customer to the businessman.

Assets: Assets are the things and properties possessed by a businessman not for resale but for the use in the business**.**

Liabilities: All the amounts payable by a business concern to outsiders are called liabilities.

Debtors: Debtor is the person who owes amounts to the businessman.

Creditor: Creditor is the person to whom amounts are owed by the businessman. Debit: The receiving aspect of a transaction is called debit or Dr. Credit: The giving aspect of a transaction is called credit or Cr.

Drawings: Drawings are the amounts withdrawn (taken back) by the businessman from his business for his personal, private and domestic purpose. Drawings may be made in the form cash, goods and assets of the business.

Receipts: It is a document issued by the receiver of cash to the giver of cash acknowledging the cash received voucher.

CHAPTER 4

WEEKLY OVERVIEW OF INTERNSHIP

WEEKLY OVERVIEW OF INTERNSHIP

Week 1:

• Introduction to the firm, orientation on company policies, and understanding the daily workflow.

• Assisted in basic data entry for financial transactions using accounting software.

• Learned the basics of journal entries and ledger postings.

• Observed senior accountants performing bank and account reconciliations

. • Gained an overview of tax filing procedures and compliance requirements

. • Understanding tax filing procedures.

Week 2:

• Learn about Financial Processing & Reporting

• Helped with invoice processing and vendor bill payments.

• Reviewed financial statements and assisted in preparing summary reports.

• Conducted bank reconciliations under the supervision of a mentor.

• Involved in tracking accounts receivable and payable.

• Prepared a basic trial balance report as part of hands-on training.

Week 3:

• Learned about GST structure, tax calculations, and compliance procedures.

• Assisted in payroll accounting including salary sheet preparation and deductions.

• Reviewed and checked accounting records for discrepancies or mismatches.

• Prepared an expense analysis report categorizing fixed and variable costs.

• Participated in team discussions on budgeting and financial planning.

• Learned about tally. Entered Purchase bills.

Week 4:

- Observed audit preparation processes and how documentation is organized.
- Supported in drafting financial reports for client review.
- Learned about depreciation calculation and basic asset management.
- Worked on preparing income tax and GST returns under supervision.
- Contributed to finalizing monthly financial statements for reporting.
- Supported in finalize the reports.

CHAPTER 5

FINDINGS AND SUGGESTIONS

FINDINGS

Structured Workflow: The firm follows a well-defined workflow for each accounting function, ensuring efficiency and timely completion of client deliverables.

Hands-On Learning Environment: Interns are gradually exposed to increasingly complex tasks—from data entry and reconciliations to audit preparation and tax filings.

Use of Accounting Software: Tools like Tally, QuickBooks, and MS Excel are actively used for bookkeeping, payroll, and generating reports.

Strong Emphasis on Compliance: There is rigorous adherence to GST, TDS, Income Tax, and Companies Act regulations, ensuring clients' legal compliance.

Client Interaction and Communication: Interns get opportunities to observe or assist in client interactions, improving their communication and documentation skills.

Collaborative Work Culture: Team meetings and regular reviews foster a culture of collaboration and continuous learning among staff and interns.

Comprehensive Exposure: The internship provides well-rounded exposure to financial reporting, audit preparation, payroll, tax returns, and asset management.

Practical Application of Theory: Academic concepts like journal entries, trial balances, ledgers, and financial ratios are applied in real-world scenarios.

Focus on Internal Controls: The firm emphasizes the importance of internal controls, audit trails, and error detection mechanisms to maintain data integrity.

Mentorship and Feedback: Regular feedback from seniors helps interns understand their strengths and areas for improvement, contributing to professional growth.

SUGGESTIONS

Digital Record-Keeping Enhancement: Transitioning more paper-based processes to digital platforms can improve efficiency, reduce errors, and ensure easy data retrieval.

Structured Training Modules for Interns: A formal training program or onboarding manual for interns would help them quickly understand their roles and expectations.

Time Management Tools: Introducing task management tools like Trello or Asana could help staff and interns track deliverables more effectively.

Periodic Skill Development Workshops: Hosting in-house training on topics like recent tax amendments, Excel tips, or audit techniques would benefit both staff and interns.

Cloud-Based Accounting Software Integration: Exploring cloud solutions like Zoho Books or Xerox can improve remote access and collaboration, especially for clients with decentralized teams.

Improved Client Communication Channels: Setting up a structured email system or client portal can streamline document sharing and query resolution.

Feedback Mechanism for Interns: Regular feedback sessions with interns can help track their progress and make the internship experience more valuable.

Standard Operating Procedures (SOPs): Documenting SOPs for key tasks (e.g., GST filing, payroll processing) would ensure consistency and serve as a quick reference for new joiners.

Upgrading Hardware and Software: Ensuring all workstations are up-to-date and equipped with licensed accounting tools can enhance productivity and security.

Team Building and Wellbeing Activities: Organizing occasional team activities or wellness initiatives can boost employee morale and create a more engaging work environment.

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CHAPTER 6

CONCLUSIONS

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My internship at MJMS & Associates has been an immensely valuable experience that has allowed me to bridge the gap between my academic studies and practical, real world application. Over the course of my internship, I gained a deeper understanding of various accounting functions, including journal entries, reconciliations, tax filing, and audit preparation. This exposure provided me with hands-on experience that is crucial for anyone pursuing a career in accounting, and it equipped me with a set of practical skills that will be indispensable in my future professional endeavors.

Through this internship, I learned how to apply the theoretical concepts I had studied in my academic courses in a real-world context. For instance, the process of preparing and posting journal entries to ledgers, handling reconciliations, and preparing trial balances allowed me to see firsthand how these tasks impact a company's financial health. I also gained valuable exposure to tax compliance, particularly in the context of GST filing, TDS deductions, and income tax returns. These processes, while initially complex, became clearer as I worked alongside experienced professionals who guided me through the necessary steps and ensured compliance with the latest regulations.

One of the key learning points from my time at Bright Tax and Accounts was the significance of compliance with legal regulations in accounting and taxation. The firm operates with a strong focus on ensuring that all client accounts meet the regulatory standards set by government authorities. This included the preparation of accurate financial reports that adhere to industry standards and the importance of tax filings being completed correctly and on time to avoid penalties. Understanding these regulatory frameworks and the steps necessary to remain compliant was a crucial takeaway, as it highlighted the essential role accountants play in safeguarding the financial integrity of businesses.

The hands-on experience with accounting software such as Tally, QuickBooks, and MS Excel was another invaluable aspect of the internship. These tools are integral to day to-day operations in accounting firms, and mastering them during my internship allowed me to enhance my technical skills and become proficient in tools widely used in the industry. I also became familiar with the nuances of using different accounting software for tasks such as generating financial statements, recording transactions, processing payroll, and ensuring that data was correctly maintained. This practical experience with software made me realize how technology is transforming the accounting profession, and it gave me a competitive edge in using tools that are vital for success in the field.

Apart from the technical skill, my internship experience helped me develop several soft skills that are equally crucial in the professional world. The collaborative work culture at Bright Tax and Accounts helped me build strong communication skills as I regularly interacted with colleagues, supervisors, and clients. Working in teams provided me with insight into how different departments within the firm contribute to a common goal. For example, the way the tax team collaborated with the audit team during the preparation of financial statements and tax filings helped me understand the interdependencies in the work processes.

Furthermore, I learned the importance of attention to detail in accounting. Whether it was ensuring that all transaction entries were recorded correctly, checking for discrepancies during reconciliations, or reviewing tax returns for accuracy, attention to detail was essential to the work I performed. This experience reinforced the idea that even minor errors can have significant consequences, which underscored the importance of precision and diligence in accounting.

Throughout my internship, I also had the opportunity to observe and participate in client interactions, which was an enlightening experience. I was able to see firsthand how professional accountants manage client expectations, resolve issues, and build long-term relationships based on trust and reliability. This exposure to client relations further deepened my understanding of the role of an accountant, not only as a technical expert but also as a trusted advisor to clients.

However, the internship experience was not only limited to learning technical skills and gaining exposure to client-facing tasks. It also gave me valuable insights into areas where improvements could be made within the firm. One such area is the onboarding and training process for interns. While I was able to learn a lot on the job, having a more structured and formalized training program at the beginning would have helped me adapt more quickly to the firm's processes and understand expectations more clearly. A well-organized orientation program could include an overview of the firm's accounting software, client management processes, and common workflows, which would allow future interns to start contributing more effectively from the outset.

Another area where the firm could improve is the automation of routine tasks. While I gained significant exposure to various accounting processes, many of the tasks, such as invoicegeneration, payroll processing, and data entry, were repetitive. Introducing automation for these tasks would not only enhance efficiency but would also allow employees and interns to focus on more critical aspects of accounting, such as financial analysis and decision-making. Automation can reduce human errors and free up valuable time for more strategic work.

Furthermore, I observed that the firm could benefit from exploring cloud-based accounting solutions. Although the firm currently uses reliable accounting tools, transitioning to cloud based systems like Xero or Zoho Books could provide additional benefits, such as real-time collaboration, easy access to client data from remote locations, and enhanced security features. Cloud accounting could also streamline client communication and document sharing, allowing clients to access their financial information on-demand and providing a more seamless service experience.

In terms of communication and workflow, introducing a formal feedback mechanism for both interns and full-time staff could greatly benefit the firm. Regular feedback sessions would provide a platform for interns to express their experiences, challenges, and suggestions for improvement. At the same time, it would help the firm ensure that interns are meeting expectations and contributing effectively to the team.

Overall, my internship at Bright Tax and Accounts was a comprehensive learning experience that not only solidified my career aspirations in the accounting field but also allowed me to gain practical skills that will serve me throughout my professional journey. I am deeply grateful to the firm for offering me the opportunity to be a part of such a dynamic and supportive team. The experience I gained through my time there has not only enhanced my technical expertise but also broadened my understanding of the critical role accountants play in ensuring the financial health and legal compliance of businesses. I leave this internship more confident, more knowledgeable, and more motivated to pursue a career in accounting.